The cost of bringing down inflation in India, U.S. and U.K. | Data

While the Fed pulled it off at near-zero cost to the U.S. economy, Britain paid with a recession; India avoided a downturn but now faces a currency crisis

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A Reserve Bank of India (RBI) logo is seen inside its headquarters in Mumbai, India | Photo Credit: Reuters

Crude oil has crossed $120 a barrel since the conflict in West Asia began. Central banks that spent the last three years fighting the worst inflation in four decades are now staring down the barrel of another inflationary shock.

The last time central banks were faced with this dilemma was in 2022, when the world was reeling from the COVID-19 pandemic. Between 2022 and 2023, the U.S. Federal Reserve (Fed), the Bank of England (BoE), and India's Reserve Bank of

India (RBI) all raised interest rates in response to inflation. By 2025, prices had broadly retreated toward targets. But how much did it cost to get there?

Economists use a concept called the sacrifice ratio which measures the loss in economic output for every percentage point of inflation tackled. In the U.S., inflation peaked at 9.1% in June 2022. In Britain, the BoE watched prices rise by 11.1% in October that same year, the country's highest reading since 1981. In India, retail inflation touched 7.8% in April 2022, breaching the 2% to 6% target band set by the RBI.

Pandemic-era supply disruptions, trillions in government stimulus, and Russia's invasion of Ukraine pushed prices up globally. **The chart below** shows when each central bank raised interest rates between 2021 and 2025, and when they began to pull back.

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How the Fed's bet paid off

When inflation surged in 2021, most economists expected the Fed would have to trigger a recession to bring it down. The Fed began raising rates in March 2022, eventually hiking it by 11 times to a peak of 5.25% to 5.50% by July 2023.

Despite these aggressive rate hikes, the U.S. economy avoided a downturn. Supply chain bottlenecks ended faster than anticipated, energy prices fell and demand was robust. As a result, inflation was brought under control at an unusually low cost.

Economists estimated the U.S. sacrifice ratio at close to near-zero, meaning the economy gave up almost nothing in lost output for each percentage point of inflation it shed. Even though recession was avoided, the 2021-22 surge permanently raised the cost of groceries, rent, and fuel.

Britain's costly attempt

The BoE moved sooner, raising rates in December 2021, yet the country's inflation didn't budge. Britain relies heavily on imported energy, and its consumers were particularly exposed when Russia's invasion of Ukraine sent European gas prices soaring. A labour shortage pushed wages and the prices of services up.

The bank raised rates from 0.1% to a peak of 5.25% by August 2023, its fastest ever tightening cycle. The economy tipped into recession in late 2023. Britain's sacrifice ratio was hit accordingly. The economy absorbed a meaningful contraction in its output. Unemployment climbed to 5.2% in late 2025 from 3.8% in early 2024. CPI inflation was still 3.0% in February 2026, a full percentage point above the BoE's 2% target. While the Bank has been cutting rates since August 2024, the new energy shock from the West Asian conflict is expected to push inflation further, to between 3% and 3.5% in the coming months.

India's challenge

In India, the Monetary Policy Committee raised the repo rate — the rate at which the RBI lends to commercial banks — from 4% to 6.5% between May 2022 and February 2023, and held it there until early 2025. Through FY26, it cut rates by a cumulative 125 basis points. But at its April 2026 meeting, with the West Asian conflict pushing oil prices above $120 a barrel, the RBI paused the repo rate at 5.25% signalling that the easing cycle was on hold.

India's growth rate slowed from above 8% in 2023-24 to 6.5% in 2024-25, even as GDP didn't contract. Retail inflation fell from 5.4% in 2023-24 to 2.1% by mid-2025. The country's growth has slowed but the economy did not collapse and inflation has come down substantially. But, this outcome can at least partly be explained by the structure of India's economy. The RBI has itself acknowledged that rate changes take longer to filter through India's economy.

The numbers also reflect how inflation behaves in India. Food accounts for nearly 46% of India's consumer price basket, far higher than in the U.S. or the U.K., and food prices are driven more by seasonal patterns and government support prices than by RBI-set interest rates. When the RBI raises rates, it can dampen urban demand but it has limited power over factors that most directly affect consumers' wallets in India.

The chart below shows how inflation surged and retreated across all three economies between 2021 and 2025.

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The rupee has also been hit hard in the conflict. It hit a record low of 95.22 per dollar on March 30, 2026, capping its steepest fiscal-year decline in over a decade. A weakening rupee makes imports more expensive. The April pause is, in part, a recognition of this bind — cutting rates further risks accelerating the rupee's slide, while hiking risks strangling a slowing economy.

All three central banks raised rates and brought inflation down, but the consequences varied sharply. The Fed absorbed the shock with minimal damage and a near-zero sacrifice ratio. Britain paid heavily in lost growth and a recession, and still missed its inflation target. India avoided a downturn, with a low sacrifice ratio, but is now facing a new front of pressure through its currency.

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